

DM MARKET UPDATE

June 1, 2026

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Market Snapshot

BTC & ETH post red May | Equities at all-time highs | Fear & Greed: 28 (Fear)

BTC

~\$72,000

-4.0%

wk/wk

ETH

~\$2,020

-5.2%

wk/wk

S&P 500

7,580

+1.4%

wk/wk

NASDAQ

26,972

+2.1%

wk/wk

GOLD

\$4,502

-0.6%

wk/wk

BRENT

\$93.37

-9.7%

wk/wk

DXY

99.1

+0.4%

wk/wk

Bitcoin — The ETF Outflow Story

10

**Consecutive
Outflow Days**

Historic streak for 2026

\$104B → \$94B

ETF AUM

Two-week contraction

\$1.26B

IBIT Block Sale

May 26 — 2.3% discount to NAV

NYDIG: This was a large investor seeking a rapid exit — not a basis-trade unwind. On-chain divergence: whales added ~270,000 BTC (Apr-May). Exchange supply declining. YTD ETF inflows still positive at \$1.2B. Burden of proof has shifted to bulls.

Bitcoin — Key Levels & Structure

CURRENT RANGE

\$73,000 – \$77,000

Consolidation after three-week correction

Support Zone

\$73,000 – \$75,000

50-Day MA (Resistance)

Above price & declining

200-Day MA

Declining since May 1

Break Risk Level

Below \$73K = next leg

FEAR & GREED INDEX

28 **FEAR**

Compressed sentiment — positive catalyst = outsized move

CATALYSTS TO WATCH

- Iran ceasefire reduces oil price & inflation pressure
- Weaker NFP Friday reopens rate cut conversation
- Bitcoin ETF inflow day breaks the 10-day outflow streak

Ethereum

~\$2,000

Current Price

RSI 33

Daily — Oversold

\$2,133

50d EMA Resistance

GLAMSTERDAM UPGRADE — H1 2026

- EIP-7928: Block-level access lists, parallel tx processing
- EIP-7732: Enshrined Proposer-Builder Separation (ePBS)
- Gas limit target: beyond 100M — direct throughput increase
- Substantive infra work — medium-term fundamental driver

PRICE SCENARIOS

BULL

\$2,500+

Whale-driven short squeeze on catalyst

BASE

~\$2,000

Consolidation — waiting for macro relief

BEAR

\$1,850

Next technical support if conditions worsen

Relative strength: HYPE (Hyperliquid) and XLM gaining while BTC/ETH are red — signals where real demand is concentrated

Iran, Oil & the Strait of Hormuz

~25% of global seaborne oil + 20% of LNG flows through the Strait

BRENT PEAK

\$116

Early May 2026



BRENT TODAY

\$93

June 1, 2026

DEAL SCENARIO

Brent \$80-85

Eases PCE. Rate cut conversation reopens.

BREAKDOWN SCENARIO

Brent \$100+

Rate hike probability rises. ~46% Dec hike priced.

LAST WEEK

- THU:** Tentative MoU framework reached — oil fell, risk-on rally.
- FRI:** Trump demands: full Strait reopening + nuclear halt + asset unfreeze. Tehran pushed back.
- FRI:** Treasury Secretary Bessent: U.S. seized ~\$1B in Iranian cryptocurrency.

Treat as binary event risk — single headlines can swing Brent \$15-20

Gold

\$4,500+

Holding above key level this morning

DXY ~99 | PCE 3.8% YoY

STRUCTURAL SUPPORTS

- 01** Central bank accumulation globally has not slowed
- 02** PCE at 3.8% YoY actively supports hard asset demand
- 03** DXY at 99 — not a meaningful headwind at this level
- 04** Geopolitical uncertainty (Iran) is not going away

PRIMARY RISK:

A durable comprehensive Iran peace deal that takes oil below \$80 and materially improves the inflation outlook. In that scenario gold likely gives back some gains. The bar for that outcome is high given the current state of negotiations — until then, the structural case holds.

The Dollar & The Fed

99.1

DXY

Dollar Index

3.8%

PCE (Headline)

YoY — 3-year high (Core: 3.3%)

3.50-3.75%

Fed Funds Rate

Held at May meeting

8-4

FOMC Vote

Largest dissent since Oct 1992

WARSH TRANSITION — JUNE 18, 2026

Kevin Warsh takes over as Fed Chair June 18. Significantly more hawkish than his predecessor. BofA and Goldman Sachs have pushed rate cut expectations to H2 2027. Markets currently assign ~46% probability to a rate hike by December 2026.

CRYPTO IMPLICATION:

The historical correlation between loose monetary conditions and crypto outperformance is well documented. A restrictive Fed with a hawkish incoming chair is a structural headwind. Price this into position sizing and timeframe expectations.

Equities — All-Time Highs, Thin Breadth

S&P 500

7,580

+5% in May

NASDAQ

26,972

+8% in May

DOW

51,000

First-ever close

AI CAPEX DRIVER

\$670B

Goldman: projected AI capex 2026
~45% of S&P 500 market cap is
AI-related names

RISK SIGNALS

- › RSI 73 entering this week — overbought
- › Rally concentrated in AI mega-caps, breadth thin
- › 9-week streaks historically break in week 10

KEY EVENTS THIS WEEK

WED AMC

Broadcom (AVGO) Earnings

AI infrastructure confirmation — most critical print of the week

FRI AM

Nonfarm Payrolls (NFP)

Primary Fed catalyst | Goldilocks: 125-175K

Week Ahead — June 1-5, 2026

DATE	EVENT	WHY IT MATTERS
MON 6/1	ISM Manufacturing PMI, Construction Spending	<i>Factory health under high rates + Hormuz supply stress</i>
WED 6/3	ADP Employment, ISM Services, Fed Beige Book	<i>Labor preview; first qualitative Fed read under incoming Warsh</i>
WED AMC	Broadcom (AVGO) Earnings	<i>AI confirmation event — most critical earnings of the week</i>
THU 6/4	Jobless Claims, Nonfarm Productivity	<i>Labor health check ahead of the main event Friday</i>
FRI 6/5	Nonfarm Payrolls + Unemployment Rate	<i>Primary Fed catalyst Goldilocks: 125-175K >200K = rate hike risk</i>

TWO VARIABLES THAT SET THE TONE FOR JUNE

01 Iran/Oil: Ceasefire MoU unresolved. Single headlines swing Brent \$15-20. **02 NFP Friday:** 125-175K is goldilocks. Below 125K = recession fear. Above 200K = rate hike ammo.